

THEMES

Business Case

The Business Case describes the business justification of the project, it explains whether the investment in the project is worthwhile or not.

- The Business case of a project can be based on financial benefits (Based on ROI, NPV and so on) as well as other reasons such as ;
- **Mandatory Project:** The projects that are initiated to fulfill some government mandate, rules or regulation.
- **Not – for – profit project:** The NGO projects such as improving the literacy rate of a particular state by 25% or to reduce poverty.
- **Evolving Project:** This include research projects originated as an idea or to resolve an issue. This can also include a software development project in which requirements might not be known clearly in the beginning and is elaborated as we move ahead and is delivered stage wise.
- **Customer/supplier project:** PRINCE2 is based on a customer/supplier environment. Therefore the customer and supplier can have their own Business Case. By default Business Case refers to the Business Case of the customer. The Business Case is owned by the Executive.
- **Multi-organization project:** Some examples are joint ventures, research and government projects.

Business Case

The programme will define the standards that the project will need to use when developing the Business Case. The project Business Case will be aggregated into the overall programme Business Case and therefore it is likely to be reduced in content. It may comprise just the details of the budget, a list of benefits (and the benefits tolerance), and a statement as to how the project is contributing to the programme blueprint, with the justification aspects of the project Business Case sitting in the programme Business Case. In some cases, the Business Case might be produced and maintained by the programme and even exist in detail prior to initiating the project.

Benefits will be defined, tracked and managed by the programme management team – and any benefit reviews relating to the project will be part of the programme's benefits realization plan.

Business Case

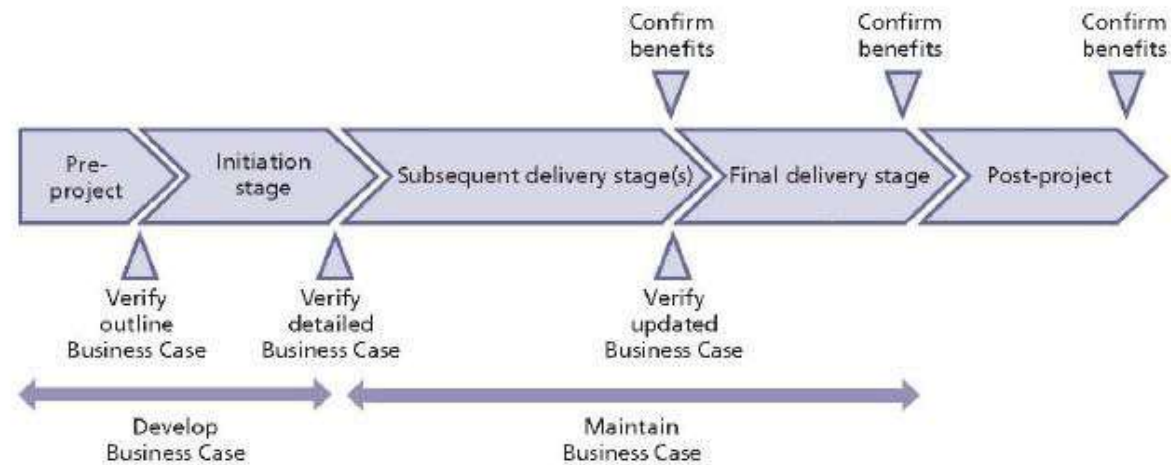
The **output** of a project is the specialist products, the **outcome** is the result of the change derived from using the projects outputs and **benefit** is the measurable improvement resulting from an outcome seen as an advantage by at least one of the stakeholders.

Example for a project that involves implementing an ERP to improve operational efficiency the output is ERP itself, the outcome is improvement in operational efficiency. The benefit is the reduction in the cost by 1 million USD per annum due to reduction in wastage.

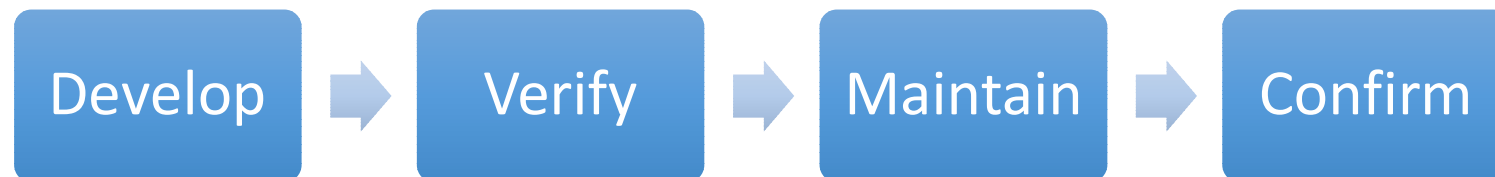


Business Case

The diagram below depicts the development path of a business case



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Business Case

The Business Case should describe the reasons for the project and includes information on the estimated costs, risks and expected benefits. It should contain the following parts:

- Executive Summary
- Reasons
- Business Options
- Expected Benefits and expected dis-benefits
- Timescale
- Costs
- Investment Appraisal
- Major Risks

Business Case – Benefit Review Plan

- The purpose of the Benefits Review Plan is to identify the benefits and most importantly, to select how the benefits can be measured so that it is possible to show that they have been reached. You can then compare the new results to the current situation, which leads us to the next point, which is to collect the baselined measures.
- Benefits Review Plan must include information on the expected timeline for these benefits, i.e., when the benefits can be expected and measured, and who will gather the information.

Business Case - Responsibilities

Corporate or Program Management

They provide the project mandate, which will most likely include some information on the Business Case.

The Corporate or Program Management is interested in hearing about the Benefits of the project.

During the project, the Project Manager will report on the Benefits to the Program Management and will update the Benefits Review Plan.

And after the project is completed, the Corporate or Program Management will be responsible for the Benefits Review Plan. They have the responsibility of following up to ensure that the benefits have been realized.

Business Case - Responsibilities

Executive

The Executive is responsible for the Business Case and the Benefits Review Plan during the project.

The Executive is also responsible to develop a viable Business Case, securing funding for the project and ensuring the project is aligned with corporate strategy.

Business Case - Responsibilities

Senior User

The Senior User is responsible for specifying the Benefits and then for ensuring that they are realized by the project.

They are also responsible for ensuring that the products produced by the project deliver the desired outcomes, in other words, that they can be used as expected.

Business Case

Project Manager

Project Manager can assist the Executive in preparing the Business Case.

For each new or revised issue and risk, they will also do Impact Analysis of the Business Case to see if the issue or risk affects the Business Case.

They also assess the Business Case at the end of each stage, this information is required by the Project Board and they also keep the Benefits Review Plan updated during the project.

Organization

This Theme defines and establishes the project's structure of roles and responsibilities. PRINCE2 is based on Customer and Supplier environment; it defines and the set of responsibilities very clearly.

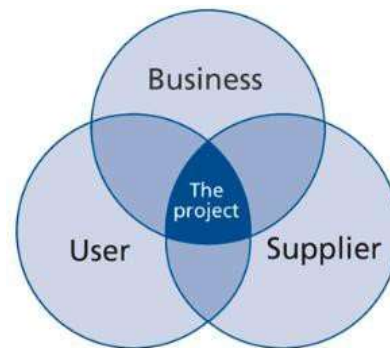
Following are the four levels in an organization



Organization

Three project interests

- As per the PRINCE2 principle of define roles and responsibilities, a project will always have three primary categories of stakeholders and the interest of all three must be satisfied if the project is to be successful. The figure below shows the three primary interests which make up the project board



Organization

Three project interests

PRINCE2 recommends that for effective function the project board should include representation from each of the business, user and supplier interests at all times.

Business

The Executive Role on the Project Board looks after the Business interests. There must be a Business Case, otherwise the project cannot start.

User Interests

The Senior User role will represent the User interests on the Project Board. In a PRINCE2 project, a user is also referred to as the customer and the will most likely pay for the project.

Supplier Interests

The Supplier provides the resources and the skills to create the products. In an organization, this could be either internal or external. For example, an internal IT department or external IT company. The Supplier interests are represented on the Project Board by the Role Senior Supplier. This Senior Supplier role can be assigned to an external or internal person or persons.

Organization

Project Management Team Structure – Simple Overview of Corporate or Program management, Directing, Managing and Delivering levels

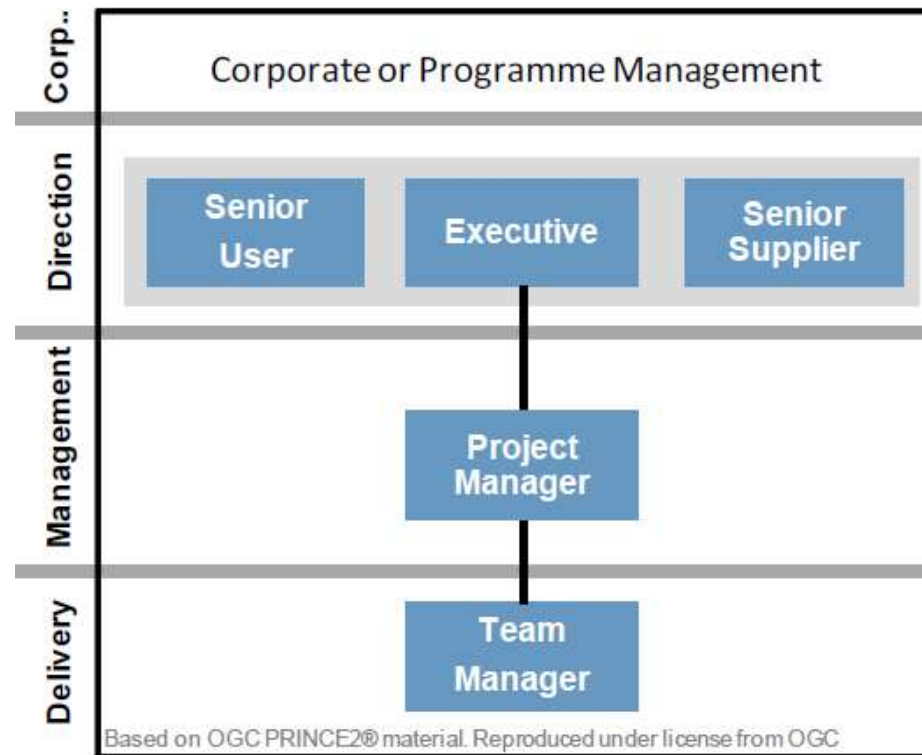


Fig: 6.4 Project Management Team Structure – simple overview

Organization – Roles & Responsibilities

Corporate or Program Management

They appoint the Executive and possibly the Project Manager.

They can also provide some information for the project as will be defined in the Communication Management Strategy document.

PROJECT BOARD

Executive

Appointing the Project Manager if not done by Corporate or Program Management.

Confirm appointments to the Project Management Team. Approving the Communication Management Strategy Document.

Senior Supplier

Providing supplier resources

Senior User

Providing User Resources

Defining & verifying user requirements & expectations

Organization – Roles & Responsibilities

Project Assurance

Project Assurance provides a kind of audit service on each project to check that it is progressing as planned.

From a Business Case point of view, they can assist in the development of the Business Case and they will monitor the Business Case for external events. Remember, the Project Manager operates inside the project, so they only see internal events.

Project Assurance also verifies and monitors the Benefits Review Plan.

Organization – Roles & Responsibilities

Project Manager

Preparing the Communication Management Strategy
Reviewing and updating the Project Management structure
Preparing Role Descriptions

Team Manager

Managing Project Team Members
They can advise on the selection of project team members

Change Authority

Ultimate authority to decide upon rests with project board unless delegated to change authority
Decide during initiation where authority lies
Should specify severity ratings for changes
Write delegated authorities into role descriptions

Organization

Project Management Team Structure – Simple Overview of three Project Assurance functions, Business, User and Supplier Assurance

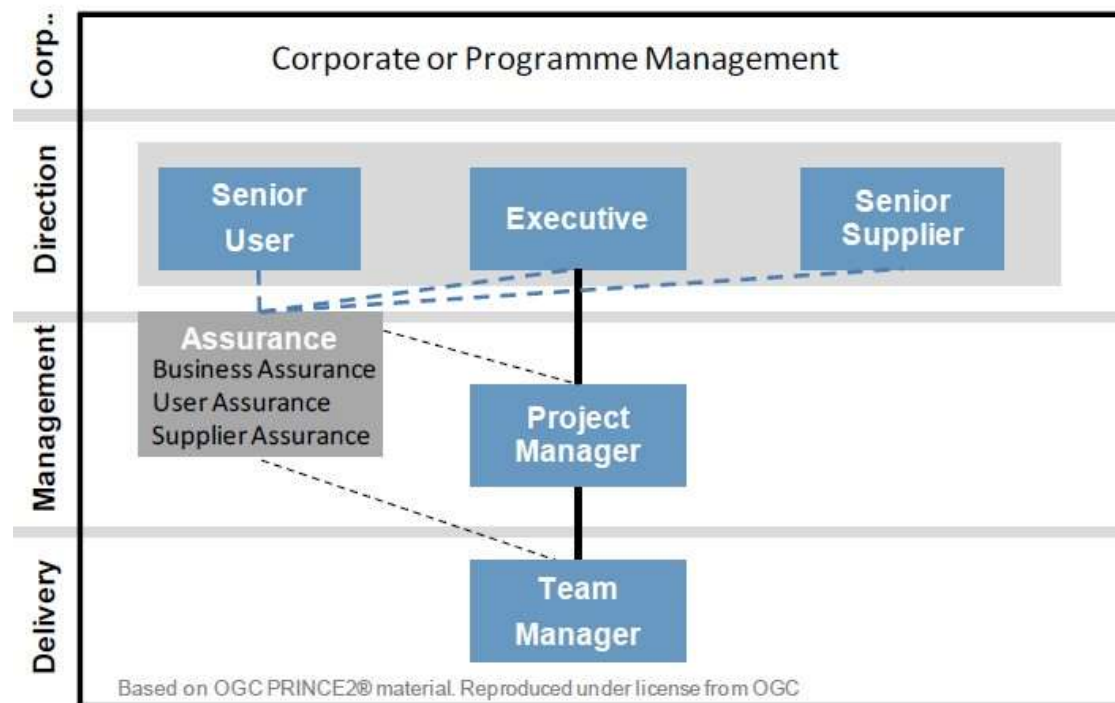
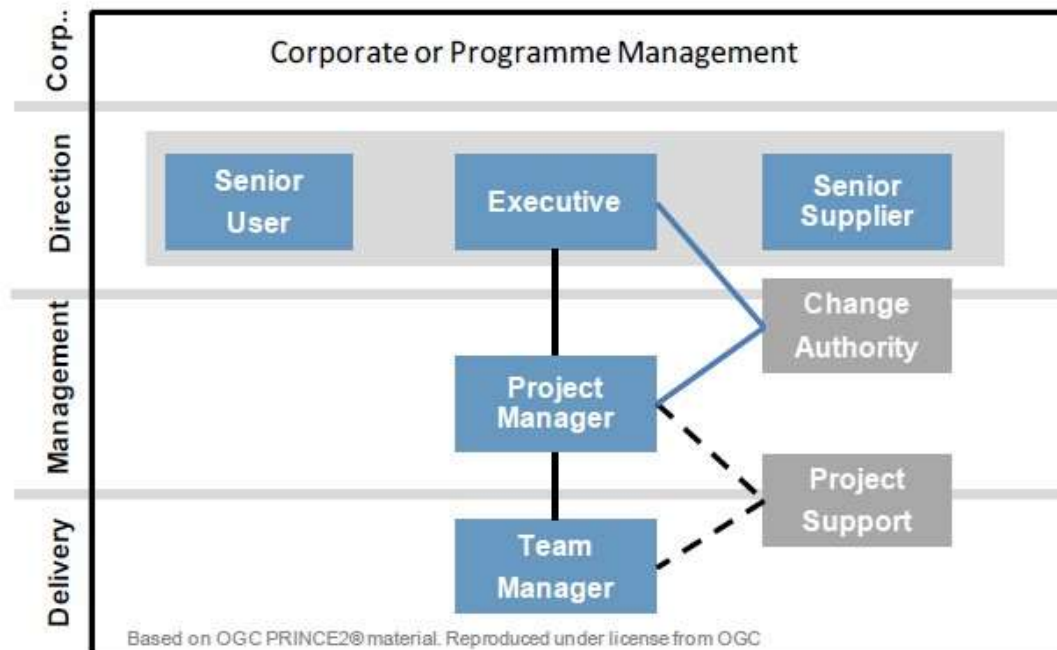


Fig 6.6 Project Assurance

Organization

Project Management Team Structure – Simple Overview of all the role along with Change Authority and Project Support



Organization

The Communication Management Strategy

The Project Manager is responsible for creating the Communication Management Strategy during the Initiation Phase of the project. This should be reviewed during the Managing a Stage Boundary Process to ensure that key stakeholders are receiving the required communication

Organization

The Communication Management Strategy document contains the following information:

- An introduction to remind the reader on the purpose of the document for this project.
- Communication Procedure: A description of the communications methods that will be used, such as electronic mail, meetings, and presentations.
- Tools & techniques, such as e-mail, intranet, newsletter.
- Reporting: Types of reports and the information they should contain.
- Timing states when communication activities will be done.
- Roles & Responsibilities: Who will handle the communication?
- Stakeholder Analysis: Type of Stakeholder and the relationship desired with Stakeholder.
- Information Needed: Information required from project, including the frequency of the communication and the format of it.

Organization

Stakeholder Engagement

Stakeholder Engagement is the process of identifying and communicating effectively with those people or groups who have an interest in the project's outcome. It's also: Managing relationships as a way of achieving influence and positive outcomes.